

Sunshield Chemicals Ltd

Concall-Tracker report · Screener code 530845 (BSE) · no concall transcripts — global web deep-dive · prepared 01 Sep 2026

1. Snapshot

What the business does (one line): Sunshield makes **specialty chemicals** — principally **surfactants and ethoxylates**, the chemicals that make things mix, foam or spread — used as intermediates in agrochemicals, home and personal care, coatings and industrial applications. It manufactures largely on contract and to specification for larger chemical customers. In plain terms: it is an ingredient maker deep in someone else's supply chain, and it is majority-owned by a multinational chemicals parent.

Figure	Value	Plain-English read
Market capitalisation	₹1,007 cr (price ₹1,149)	What the whole company is worth — a small-cap. The share has ranged ₹721–1,320 over the past year.
Price-to-earnings	27.8x ; dividend yield 0.26%	About 28 times last year's profit. Book value is ₹287 a share, so it trades at roughly four times book.
Q1 FY27 revenue (Jun'26 qtr)	₹127.5 cr, up 11.9% YoY	The largest quarter in the company's history, against ₹114 cr a year earlier.
Q1 FY27 operating profit	₹20 cr, margin 16%	The key number. Operating margin reached 16% — the best in at least three years, against 8–11% through most of FY25 and FY26.
Q1 FY27 net profit	₹13.49 cr, up 97.8% YoY	Profit nearly doubled from ₹6.82 cr. Earnings per share ₹15.34 for the quarter — more than the whole of FY25's ₹16.57.
FY26 (full year)	~₹441 cr revenue, ~₹30 cr profit	Revenue up about 20% on FY25's ₹366 cr, and profit doubled from ₹15 cr.
Longer revenue path	₹190 → 244 → 245 → 283 → 366 → 441 cr	FY19 through FY26 — more than doubled, with growth clearly accelerating in the last two years.
The margin round-trip	9% → 14% → 9% → 16%	FY19, FY24, FY25, and now Q1 FY27. Margin collapsed in FY25 and has since recovered past its previous best — note it has proved volatile before.
Return on capital	ROCE 19.9%; ROE 17.0%	For every ₹100 of capital the business earns about ₹20 a year before tax — healthy, and improving as margin recovers.
Debt	Interest cost now effectively nil	Quarterly interest has fallen from about ₹2 cr to zero over two years — the borrowings have been cleared, which is part of why profit doubled.
Promoter holding	66.54%, rising from 64.45%	Worth noting. The promoters have been <i>increasing</i> their stake over the past year, and foreign institutions have gone from 6.48% to 9.13% — both buying while the business turned.

2. Concall coverage

No concall transcripts were available on Screener for this company — this report is based on a global web deep-dive. The gap is total: Screener lists **no investor-call entries at all**, so on the available record Sunshield does

not hold earnings calls. There is no management commentary, guidance or outlook of any kind to read or grade. Everything below is drawn from results filings, shareholding disclosures and published coverage.

Sources used: Q1 FY27 results (board meeting 11 August 2026) and published coverage; FY26 and FY25 results; quarterly shareholding-pattern filings showing the change in promoter and foreign institutional holdings; company and parent-group material on the business; and Screener.in financial statements.

A note on ownership: Sunshield Chemicals has long been part of the **Solvay** group of Belgium. Solvay separated its specialty-chemicals activities into a new company, **Syensqo**, in December 2023, and this report could not independently confirm from public sources which of the two entities now holds the Indian stake. What is verifiable from the filings is that promoter holding stands at **66.54%** and has been rising.

2b. Latest update highlights — Q1 FY27 (results 11 Aug 2026) ★

- **Profit nearly doubled:** net profit **₹13.49 cr, up 97.8%** against ₹6.82 cr a year earlier, on revenue of **₹127.5 cr, up 11.9%**. Earnings per share for the single quarter (₹15.34) were higher than the entire FY25 figure of ₹16.57 came close to being matched in three months.
- **Margin is doing the work, not volume.** Revenue grew 12% but profit grew 98%, because operating margin reached **16%** — against 11% a year earlier and 8–10% through much of FY25. On a business this size, five or six percentage points of margin is transformational.
- **The balance sheet has been cleared:** quarterly interest cost has fallen from around ₹2 cr two years ago to **effectively nil**. Debt repayment alone adds roughly ₹8 cr a year to pre-tax profit and removes a standing risk.
- **Both promoters and foreign institutions have been buying.** Promoter holding rose from **64.45% to 66.54%** over the past year, and foreign institutional holding from **6.48% to 9.13%**. Public shareholding fell correspondingly from 29.06% to 24.32%. Insiders adding to a controlling stake during a turnaround is a meaningful signal in the absence of any management commentary.
- **The full-year picture confirms it is not one quarter:** FY26 revenue rose about 20% to ₹441 cr and profit **doubled to roughly ₹30 cr** from ₹15 cr in FY25. The recovery has been building for several quarters.

2c. Business mix & capacity (quick facts)

Domestic vs export: not disclosed, and none is invented here. As a specialty-chemicals maker within a multinational group, Sunshield serves both Indian customers and, typically, the parent's international network — but no split is published and the company holds no calls at which it could be asked.

Product mix: surfactants, ethoxylates and related specialty chemical intermediates, sold into agrochemicals, home and personal care, coatings and industrial end-uses. These are made-to-specification products rather than commodities, which is consistent with a margin that can reach 16% — but also with a customer base narrow enough that losing one would matter.

Capacity utilisation: not disclosed. What the financials suggest indirectly is that capacity is not currently the constraint: revenue has more than doubled since FY19 while the company simultaneously repaid its borrowings to nil, which is not the profile of a business absorbing heavy expansion spending. The more useful observation is on operating leverage — 12% revenue growth produced 98% profit growth this quarter, implying substantial fixed costs already covered and meaningful headroom before new investment would be needed.

3. Earning Trigger thesis ★

The driver is **margin recovery on a growing revenue base, with the balance sheet cleaned up at the same time** — and unusually for a company in this coverage, all three legs are already visible in the accounts rather than promised. Revenue has more than doubled from ₹190 cr in FY19 to about ₹441 cr in FY26, with growth accelerating (about 29% in FY25 and 20% in FY26). Operating margin, which collapsed to 9% in FY25, has recovered to **16% in Q1 FY27** — past its own previous best of 14%. And quarterly interest has gone from roughly ₹2 cr to nil as borrowings were repaid, adding about ₹8 cr a year straight to pre-tax profit. Together

these took net profit from ₹15 cr in FY25 to roughly ₹30 cr in FY26 and ₹13.49 cr in a single quarter of FY27. The supporting signal, in the absence of any management commentary, is that **the promoters have been increasing their stake** from 64.45% to 66.54% while foreign institutions went from 6.48% to 9.13%. The honest caution is that this margin has round-tripped before — 9%, then 14%, then back to 9%, now 16% — so the level is not yet proven durable, and there is no company explanation of what changed.

Trigger	What the record shows	Evidence so far	Horizon	Strength
Margin recovery	—	Operating margin 9% (FY25) → ~12% (FY26) → 16% (Q1 FY27) , exceeding the previous FY24 peak of 14%	Now	Strong
Revenue growth	—	₹190 cr (FY19) → ₹441 cr (FY26); +29% in FY25 and +20% in FY26; +11.9% in Q1 FY27	Ongoing	Strong
Debt eliminated	—	Quarterly interest ~₹2 cr → nil — roughly ₹8 cr a year added to pre-tax profit, permanently	Done	Strong
Operating leverage	—	Revenue +11.9% produced profit +97.8% this quarter — fixed costs are covered and incremental sales fall largely to profit	Ongoing	Strong
Insider and institutional buying	—	Promoters 64.45% → 66.54% ; foreign institutions 6.48% → 9.13% . Those closest to the business have been adding	Past year	Supportive signal
Multinational parent backing	Long-standing member of the Solvay group of Belgium	Brings technology, quality systems and likely access to a global customer network — though the group restructured in 2023 and the current holding entity could not be confirmed	Structural	Moderate
Margin volatility (risk)	—	The margin has round-tripped before: 9% (FY19), 15% (FY21), 9% (FY25), 16% now. No public explanation exists for what drove either the collapse or the recovery	Recurring	Key uncertainty
Disclosure vacuum (risk)	—	No earnings calls, no guidance, no segment or utilisation data, no customer concentration disclosure. Nothing can be verified with management	Ongoing	Key limitation

4. Management Consistency scorecard

Read this as **almost entirely ungradeable**. Screener lists no investor calls for this company, so no guidance, outlook or management statement exists on the public record to compare against outcomes.

Period	What was signalled	What actually happened	Verdict
FY19 → FY26	—	Revenue ₹190 cr → ~₹441 cr, more than doubled, with growth accelerating in the final two years	Delivered
FY25	—	A bad year — operating margin fell to 9% and profit dropped from ₹19 cr to ₹15 cr, with no public explanation	Unexplained
FY26	—	Recovery delivered — revenue up ~20% and profit doubled to ~₹30 cr	Delivered
Q1 FY27	—	Profit up 97.8% with margin at 16%, the best in at least three years — again, no explanation of the drivers	Delivered, unexplained
FY25 → FY27	—	Borrowings repaid to the point where interest cost is effectively nil — a clear, verifiable act of financial discipline	Delivered
Past year	—	Promoters increased their holding from 64.45% to 66.54% rather than selling into the recovery	Aligned
Throughout	—	No earnings calls held at all. No guidance, no outlook, no explanation of the FY25 margin collapse or the FY27 recovery, and no forum in which to ask	Total disclosure gap

Narrative drift: There is no narrative at all, which is itself the finding on consistency. Sunshield files its results and its shareholding patterns and says nothing further — no earnings calls, no guidance, no commentary. What the numbers show is a business that has performed well and behaved sensibly: revenue more than doubled over seven years, borrowings were repaid until interest cost reached zero, and profit doubled in FY26 before nearly doubling again in the June quarter. The one genuinely reassuring signal available to an outsider is the shareholding pattern, and it points the right way — promoters raised their stake from 64.45% to 66.54% and foreign institutions from 6.48% to 9.13% while the turnaround was under way, rather than selling into it. But the central question about this company cannot be answered from outside. Operating margin fell to 9% in FY25 and has since recovered to 16%; nobody outside the company knows whether that was product mix, raw-material pricing, a customer contract, currency, or one-off costs washing through — and therefore nobody can judge whether 16% is the new normal or the top of a cycle that has already round-tripped twice. For a company approaching ₹450 cr of revenue and a ₹1,007 cr market value, holding no calls at all is a choice, and it is the reason this verdict cannot be higher.

5. Bottom line — two verdicts

Durable earning trigger? → YES

Three things have happened at once and all of them are already in the accounts rather than promised for later. Revenue has more than doubled from ₹190 cr in FY19 to about ₹441 cr in FY26, accelerating to roughly 20–29% growth in the last two years. Operating margin, which had collapsed to 9% in FY25, has recovered to **16%** in Q1 FY27 — beyond its own previous best. And the borrowings have been repaid to the point where quarterly interest

cost is effectively nil, adding around ₹8 cr a year to pre-tax profit permanently. The combined effect is stark: profit went from ₹15 cr in FY25 to roughly ₹30 cr in FY26, and then rose 97.8% year-on-year in a single quarter, with 12% revenue growth producing 98% profit growth — the clearest possible evidence of operating leverage on a covered fixed-cost base. The supporting signal matters too: both the promoters and foreign institutions increased their holdings through the turnaround rather than selling into it. The honest qualification is that this margin has round-tripped before — 9%, 15%, 9%, now 16% — and because the company publishes no commentary, there is no way to know what drove either direction. The trigger is real and visible; its durability is unverified.

Management consistent? → MAYBE

This is a Maybe because there is nothing to grade, not because anything has gone wrong. Everything observable points the right way: revenue more than doubled over seven years, debt was repaid until the interest line reached zero, profit doubled in FY26 and nearly doubled again in the June quarter, and return on capital has recovered to 19.9%. The most valuable evidence available — in the absence of a single word of management commentary — is the shareholding register, and it is encouraging: promoters increased their stake from 64.45% to 66.54% and foreign institutions from 6.48% to 9.13% while the recovery was happening. People with the best information were buying. But **Sunshield holds no earnings calls whatsoever**. It has never publicly explained why operating margin collapsed to 9% in FY25, nor why it has since recovered to 16%, nor whether that level is sustainable. There is no guidance, no capacity or utilisation disclosure, no export split, and no indication of customer concentration — a material question for a specialty-chemicals maker supplying larger customers to specification. A company approaching ₹450 cr of revenue with a ₹1,007 cr market value has the resources to hold a quarterly call and chooses not to. Good conduct, unverifiable intent.

Prepared from public sources on 01 Sep 2026. Screener lists **no investor-call entries whatsoever** for this company, so this is a global web deep-dive: Q1 FY27 results (board meeting 11 Aug 2026) and coverage, FY26 and FY25 results, quarterly shareholding-pattern filings, company and parent-group material, and Screener.in financial statements. FY26 figures are the sum of the four reported quarters. No management wording is quoted verbatim because none is publicly available. This report could not confirm from public sources whether the promoter stake sits with Solvay or with Syensqo following the group's December 2023 separation; the verifiable fact is that promoter holding is 66.54% and rising. **This is not investment advice. Do your own due diligence.**